

Oral Exam Discussion Prompts by Vignette

Vignette A: The Privatization Puzzle Kazakhstan, 1994

Informal (non-economist director level)

- Why do you think some people were unhappy after the auction?
- What could the government have done differently to avoid confusion or regret?
- If you were advising the Ministry of Finance, how would you explain what went wrong?

Semi-formal (economist director level)

- Would you model this as a private value, common value, or interdependent value setting?
- How might the open outcry format have exacerbated overbidding or speculative behavior?
- What informational assumptions would justify switching to sealed bids?

Formal (professor level)

- Under what conditions does the Revenue Equivalence Theorem apply here, and are those conditions satisfied?
- Could the auction be analyzed using a Bayesian game with asymmetric information? Sketch the players, beliefs, and strategies.
- Is there a rational expectations equilibrium interpretation for the overbidding we observed?

Vignette B: Refining the Bid The Stratus Oil Auction (2022–2024)

Informal (non-economist director level)

- Why would other companies drop out before bidding?
- Should we be worried that the winning firm got a “bad deal”?
- What does this situation tell us about trust and transparency in business?

Semi-formal (economist director level)

- Would you classify the bidder valuations as interdependent? Why or why not?
- How might the early withdrawal of other bidders affect the strategic logic of the auction?
- What role does legal uncertainty play in shaping bid strategies?

Formal (professor level)

- Suppose bidder types are defined by legal risk tolerance and private cost assessments. How would you model this as a Bayesian auction with correlated signals?
- Can you design a reserve-price mechanism that screens out firms most likely to default post-auction?
- Could the observed outcome be the result of a pooling equilibrium? Under what information structure?

Vignette C: Wind Power for Sale Renewable Energy Auctions (2018–2022)

Informal (non-economist director level)

- Why might companies offer prices that are too low to actually deliver?
- Is it better to have very low prices if the project never gets built?
- What kind of signal does a very low bid send to the government?

Semi-formal (economist director level)

- How does this auction differ from typical forward auctions?
- What is the strategic logic of bidding in a reverse auction with interdependent cost structures?
- Should the government implement a price floor or minimum delivery requirement?

Formal (professor level)

- Formally characterize the incentive compatibility constraints under SIPV and under an interdependent cost model.
- Discuss whether Revenue Equivalence holds in this reverse auction and identify the assumptions that break down.
- How would you model a two-stage game where winners may later default, and how would this affect equilibrium bidding strategies?